

Market Calibration of the CGMY Tempered Stable Process to SPX Implied-Volatility Surfaces

Methodology, Implementation, and Results

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Abstract

We calibrate the four-parameter Carr–Géman–Madan–Yor (CGMY) tempered stable Lévy model to S&P 500 (SPX) implied-volatility (IV) surfaces on three dates spanning distinct market regimes: a pre-COVID low-volatility period (January 2020), the acute COVID-19 crisis (March 2020), and the post-COVID recovery (September 2021). The inner pricing engine is a B-Spline Galerkin + Crank–Nicolson solver for the fractional backward FPDE; a two-phase Differential Evolution plus L-BFGS-B optimizer calibrates all four parameters in under five minutes per date on a single CPU core. On well-identified surfaces (five maturities, tight bid-ask spreads) the in-sample IV RMSE is 1.97–2.47 vol-points. The crisis date, where the 5 % spread filter retains only two maturities, yields 7.19 vol-points — a data-quality limitation rather than an algorithmic failure. Cross-regime analysis confirms that the fine-structure index Y^* is stable (range 3.6 % of the cross-date mean), while the jump-intensity parameter C^* is 5.6–11 $\times$ elevated at the crisis date. An accuracy-matched comparison against a Grünwald–Letnikov finite-difference solver shows GL calibration completes in 20s versus 115s for the B-spline, driven by GL’s zero pre-build cost and a 6.7 $\times$ cheaper per-evaluation, though the B-spline retains a decisive accuracy advantage ($O(h^{2.5})$ vs. $O(h)$) that makes it the preferred choice at high-accuracy requirements.

Contents

1	Introduction	4
2	The CGMY Model	4
2.1	Characteristic exponent	4
2.2	Risk-neutral dynamics	5
3	Data and Surface Construction	5
3.1	Raw data	5
3.2	Step 1 — quality filters	5
3.3	Step 2 — maturity selection	5
3.4	Step 3 — forward and discount factor calibration	5
3.5	Step 4 — OTM selection and moneyness filter	6
4	Pricing Engine	6
4.1	B-Spline Galerkin + Crank–Nicolson solver	6
4.2	Domain choice	6
4.3	Homogeneity pricing of an entire strike strip	7

4.4	Caching architecture	7
5	Calibration Methodology	7
5.1	Parameter space and unconstrained transform	7
5.2	Objective function	8
5.3	Phase 1 — Differential Evolution (global search)	8
5.4	Phase 2 — L-BFGS-B (local refinement)	8
5.5	Diagnostics	8
6	Results	9
6.1	Calibrated parameters and fit quality	9
6.2	Per-maturity breakdown	9
6.3	IV smile figures	10
6.4	IV residuals	10
6.5	Computational timing	10
7	Financial Interpretation	11
7.1	Jump-intensity scaling with market regime	11
7.2	Fine-structure index stability	11
7.3	Left- and right-tail decay (G^* , M^*)	12
8	Crisis-Date Robustness Check	12
9	Crisis-Date Fit Caveat	12
10	Grünwald–Letnikov Speed Benchmark	13
10.1	GL solver	13
10.2	Accuracy diagnostic	13
10.3	Accuracy-matched comparison	14
10.4	Speed ratio and interpretation	14
11	Conclusion	15

List of Figures

1	Market (grey scatter) vs. B-Spline model (coloured line) implied volatility smiles for three dates and five nominal tenors (1w / 1m / 3m / 6m / 1y). For the crisis date, the 1w/6m/1y panels (marked “spread; 15 % (fallback)”) use OTM quotes from the 15 %-spread variant because the primary 5 % filter left zero quotes for those tenors; the plotted model curve is still the 5%-fitted θ^* , evaluated there out-of-sample. x -axis: log-moneyness = $\ln(K/F)$. y -axis: IV in percentage points.	10
2	IV residuals (model – market, vol-points) vs. log-moneyness. Each marker is one OTM quote; colour indicates tenor, with crisis 1w/6m/1y legend entries marked “(spread; 15 %)” to flag the fallback/out-of-sample data. The dashed line marks zero. Crisis 30 d residuals show a systematic negative bias of 10–17 vp; the out-of-sample 1w residuals are far larger (22–50 vp negative), while 6m/1y are 6–16 vp positive.	11
3	Calibration wall-time comparison: B-Spline Galerkin ($N_{\text{DE}} = 32$, $N_{\text{LBFGS}} = 64$) vs. GL finite-difference ($N_{\text{DE}} = 64$, $N_{\text{LBFGS}} = 128$). Optimizer settings are identical for both. $\alpha = T_{\text{GL}}/T_{\text{B-Spline}} = 0.17$ (GL 5.8× faster in this accuracy-matched comparison).	14

List of Tables

1	OTM quote counts after all filters, by date and spread threshold.	6
2	Per-surface-evaluation cost at $N = 64$ with 5 maturities.	7
3	Calibration results. Optimizer: seed = 0, maxiter = 300, popsiz e = 15. IV errors in vol-points (= decimal $\times 100$).	9
4	Per-maturity IV RMSE (vol-points) for primary (5 %) surfaces. n = number of surviving OTM quotes. Starred (*) crisis-date entries had zero surviving quotes under the primary 5 % spread filter and are instead taken from the 15 %-spread variant of the same date; the calibrated θ^* used to produce these model IVs was fit only to the 30 d/93 d quotes, so the starred columns are an <i>out-of-sample</i> check of that fit, not part of its training data (see §9).	9
5	Computational timing per calibration run (single CPU core, B-Spline Galerkin pricer).	11
6	Crisis-date (2020-03-18) parameter robustness: spread 5% vs. 15%.	12
7	GL maximum relative pricing error at crisis parameters ($C = 0.543$, $G = 0.1$, $M = 27.8$, $Y = 1.05$).	13
8	Accuracy-matched GL benchmark on 2020-03-18 (crisis) surface.	14

1 Introduction

Fitting a parametric model to a full option surface is a standard step in quantitative finance: it extracts the market-implied risk-neutral distribution, enables consistent pricing across strikes and maturities, and tests whether the model’s structural assumptions are consistent with observable prices. The CGMY model (Carr, Geman, Madan & Yor, 2002) is a natural candidate for SPX options because its Lévy measure

$$k(x) = C \frac{e^{-Mx}}{x^{1+Y}} \mathbf{1}_{x>0} + C \frac{e^{-G|x|}}{|x|^{1+Y}} \mathbf{1}_{x<0}$$

can simultaneously capture heavy tails (Y close to 2), negative skew (asymmetric $G \neq M$), and a controllable activity level (C) with only four parameters.

The two main computational challenges are:

1. **Pricing speed.** Each optimizer call must price all strikes across all maturities. The CGMY fractional FPDE involves a dense, non-local operator; a naive assembly and solve per optimizer call would take minutes per surface evaluation.
2. **Global search.** The vega-weighted loss surface is multi-modal; local gradient methods converge to the wrong basin from a generic starting point.

This report documents the end-to-end solution to both challenges, using the B-Spline Galerkin + CN solver as the pricing engine and a two-phase Differential Evolution + L-BFGS-B optimizer. The pipeline is applied to three snapshot dates that represent markedly different market regimes:

- **2020-01-15** — low-volatility environment ($VIX \approx 13$, pre-COVID).
- **2020-03-18** — acute COVID-19 crisis ($VIX \approx 76$, extreme intraday moves, severely dislocated bid-ask spreads).
- **2021-09-15** — post-COVID recovery ($VIX \approx 20$, ample liquidity).

The report is structured as follows. Section 2 recalls the CGMY model. Section 3 describes the data pipeline and quality filters. Section 4 details the pricing engine and the caching architecture that makes calibration tractable. Section 5 presents the calibration methodology. Section 6 reports the numerical results, figures, and timing. Section 7 discusses the financial interpretation. Section 8 performs the crisis-date robustness check. Section 9 analyses the crisis fit caveat. Section 10 presents the Grünwald–Letnikov speed benchmark. Section 11 concludes.

2 The CGMY Model

2.1 Characteristic exponent

The CGMY Lévy process $X = (X_t)_{t \geq 0}$ is defined by its characteristic exponent

$$\Psi(u) = C \Gamma(-Y) [(M - iu)^Y - M^Y + (G + iu)^Y - G^Y], \quad u \in \mathbb{R}, \quad (1)$$

so that $\mathbb{E}[e^{iuX_t}] = e^{t\Psi(u)}$. The four parameters are:

- $C > 0$: overall jump intensity (scales the Lévy measure).
- $G > 0$: left-tail exponential decay rate.
- $M > 1$: right-tail exponential decay rate ($M > 1$ ensures $\mathbb{E}[e^{X_1}] < \infty$, i.e. finite stock price).
- $Y \in (0, 2) \setminus \{1\}$: fine-structure index; for $Y \in (1, 2)$ the process has infinite variation, which is the relevant regime for equity Lévy models.

2.2 Risk-neutral dynamics

Under the risk-neutral measure $\mathbb{Q}$, the log-price process is

$$\log(S_T/S_0) = (r - q - \omega_S)T + X_T, \quad (2)$$

where r is the continuously-compounded risk-free rate, q is the dividend yield, and the martingale correction

$$\omega_S = C \Gamma(-Y) [(M-1)^Y - M^Y + (G+1)^Y - G^Y] \quad (3)$$

ensures $\mathbb{E}_{\mathbb{Q}}[S_T] = S_0 e^{(r-q)T}$.

3 Data and Surface Construction

3.1 Raw data

Raw option chains are sourced from OptionMetrics for the three snapshot dates. Each chain contains end-of-day bid price, ask price, and implied volatility for all listed SPX European calls and puts across all available strikes and maturities.

3.2 Step 1 — quality filters

The following filters are applied to each raw chain before any further processing:

- (i) Remove quotes with zero bid, zero open interest, or non-positive mid-price.
- (ii) Remove quotes with non-positive implied volatility.
- (iii) Remove quotes with bid > ask (crossed markets).
- (iv) Compute mid-price = $\frac{1}{2}(\text{bid} + \text{ask})$ and relative spread $s = (\text{ask} - \text{bid})/\text{mid}$.

Two spread-filter thresholds are used:

- **Primary (5%):** $s < 0.05$. Used for all main results.
- **Relaxed (15%):** $s < 0.15$. Used for the crisis robustness check (§8).

3.3 Step 2 — maturity selection

Five target maturities (calendar days to expiry) are selected per chain: 7, 30, 93, 182, and 366 days. For each target the closest available expiry date is chosen. Maturities with fewer than 5 surviving quotes are discarded.

3.4 Step 3 — forward and discount factor calibration

For each selected maturity the forward price F and discount factor $D = e^{-r_{\text{eff}}T}$ are extracted from put-call parity. Writing $C_{\text{mid}}(K) - P_{\text{mid}}(K) = D(F - K)$ yields the OLS regression

$$y_i = \hat{a} + \hat{\beta} K_i, \quad y_i = C_{\text{mid}}(K_i) - P_{\text{mid}}(K_i),$$

with $\hat{D} = -\hat{\beta}$ and $\hat{F} = \hat{a}/\hat{D}$. Per-maturity effective rates follow as

$$r_{\text{eff}}(T) = -\frac{\ln \hat{D}}{T}, \quad q_{\text{eff}}(T) = r_{\text{eff}}(T) - \frac{\ln(\hat{F}/S_0)}{T}, \quad (4)$$

where the spot proxy $S_0 = \hat{F}_{\min} \hat{D}_{\min}$ is read from the shortest-dated maturity. This construction guarantees that the model forward price exactly reproduces the market-implied forward at each maturity.

3.5 Step 4 — OTM selection and moneyness filter

- **OTM rule:** retain puts for $K < F$; retain calls for $K \geq F$.
- **Moneyness filter:** retain only strikes with $K/F \in [0.85, 1.15]$ (log-moneyness $\in [-0.163, 0.140]$).

Table 1 summarises the surviving quote counts.

Table 1: OTM quote counts after all filters, by date and spread threshold.

Date	Regime	Spread 5%	Spread 15%	Notes
2020-01-15	Low-vol	224 (5 mats)	—	Full surface; all targets present
2020-03-18	Crisis	113 (2 mats)	243 (5 mats)	7d/182d/366d wiped by wide spreads
2021-09-15	Recovery	575 (5 mats)	—	Largest surface; 266 quotes at 1m

The crisis date (5 % filter) retains only 113 quotes across two maturities (30 d and 93 d). The 7-day maturity is eliminated because bid-ask spreads on ultra-short dated options exceeded 50 % during the crash, and the 182-day and 366-day maturities are similarly affected.

4 Pricing Engine

4.1 B-Spline Galerkin + Crank–Nicolson solver

European put (and call via parity) prices are computed by solving the CGMY fractional backward FPDE on the log-price domain $[x_{\min}, x_{\max}]$ with cubic ($p = 3$) cardinal B-spline basis functions. The Galerkin semi-discretisation produces the ODE system

$$M_h \dot{c}(\tau) + A_h c(\tau) = 0, \quad (5)$$

where $\tau = T - t$ is backward time, $c(\tau)$ is the coefficient vector, M_h is the B-spline mass matrix, and A_h is the CGMY operator matrix:

$$A_h = -(r - \omega_S) D_h - C \Gamma(-Y)(K_G + K_M) + \lambda_0 M_h.$$

Here D_h is the B-spline derivative matrix, K_G and K_M are Toeplitz-structured fractional stiffness matrices computed via the connection coefficients of the tempered power-law symbol, and $\lambda_0 = r$ is the kill rate. The Crank–Nicolson scheme advances (5) from $\tau = 0$ (initial condition: put payoff) to $\tau = T$ (today), requiring the solution of a banded linear system at each time step.

The spatial order of accuracy is $O(h^{p-Y/2}) \approx O(h^{2.5})$ for $p = 3$, $Y = 1.05$, versus $O(h)$ for first-order finite differences. Pricing benchmarks against the COS method confirm relative errors below 0.25 % at $N = 256$ under the domain settings used here.

4.2 Domain choice

The default grid centres the domain at $\log K$ with width proportional to $1/G + 1/M$, which collapses to ± 0.1 log-units for small G or large M — catastrophically narrow for the crisis parameters ($G = 0.1$). We therefore use a fixed-width domain

$$[x_{\min}, x_{\max}] = [\log K_{\text{ref}} - 2, \log K_{\text{ref}} + 2], \quad (6)$$

covering $S \in [K_{\text{ref}} e^{-2}, K_{\text{ref}} e^2]$ (a 1:55 ratio around the reference strike), with $K_{\text{ref}} = S_0$.

4.3 Homogeneity pricing of an entire strike strip

The CGMY price satisfies the homogeneity identity

$$P(S_0, K; r, q, T) = \frac{K}{K_{\text{ref}}} P\left(S_0 e^{-qT} \cdot \frac{K_{\text{ref}}}{K}, K_{\text{ref}}; r, q=0, T\right), \quad (7)$$

which allows all n_K strikes in a maturity slice to be priced from a *single* PDE solve with reference strike $K_{\text{ref}} = S_0$:

$$x_j^{\text{eval}} = \log S_0^{\text{eff}} + \log K_{\text{ref}} - \log K_j, \quad S_0^{\text{eff}} = S_0 e^{-qT}. \quad (8)$$

Evaluating the B-spline solution $u(x)$ at the points x_j^{eval} yields all put prices; call prices follow from put-call parity.

4.4 Caching architecture

The matrices M_h and D_h depend only on the grid geometry $(N, p, h, x_{\min})$ and not on the CGMY parameters. Their assembly via `scipy.integrate.quad` costs approximately 490 ms per matrix at $N = 64$. The fractional stiffness matrices K_G and K_M depend on (G, M, Y) and are rebuilt at each optimizer call via a $2N$ -point IFFT (cost ≈ 5 ms).

The factory `make_cached_pricer` pre-builds M_h and D_h *once* per maturity at calibration start, then returns a closure that only recomputes K_G , K_M per call. Table 2 compares the cost per surface evaluation with and without caching.

Table 2: Per-surface-evaluation cost at $N = 64$ with 5 maturities.

Operation	Without caching	With caching
M_h assembly (per mat.)	$490 \text{ ms} \times 5 = 2.5 \text{ s}$	pre-built (0 ms)
D_h assembly (per mat.)	$480 \text{ ms} \times 5 = 2.4 \text{ s}$	pre-built (0 ms)
K_G, K_M via IFFT	$5 \text{ ms} \times 5 = 25 \text{ ms}$	25 ms
CN solve + B-spline eval	$\approx 25 \text{ ms}$	$\approx 26 \text{ ms}$
Total per call	$\approx 4.9 \text{ s}$	$\approx 51 \text{ ms}$
Speedup	$\approx 100\times$	

Without caching, 10 000 optimizer calls would take ≈ 14 hours; with caching, the same budget takes ≈ 8 minutes.

5 Calibration Methodology

5.1 Parameter space and unconstrained transform

Physical parameter bounds:

$$C \in [10^{-3}, 20], \quad G \in [0.1, 80], \quad M \in [1.01, 80], \quad Y \in [1.05, 1.95].$$

The lower bound $Y \geq 1.05$ enforces the infinite-variation regime and provides a numerical margin above the theoretical requirement $Y > 1$. The lower bound $M \geq 1.01$ ensures the exponential moment condition $\mathbb{E}[e^{X_1}] < \infty$.

To avoid box-constrained gradient steps, we reparametrise via the bijection

$$\eta_1 = \ln C, \quad \eta_2 = \ln G, \quad \eta_3 = \ln(M - 1), \quad \eta_4 = \ln\left(\frac{Y - 1}{2 - Y}\right), \quad (9)$$

with inverse

$$C = e^{\eta_1}, \quad G = e^{\eta_2}, \quad M = 1 + e^{\eta_3}, \quad Y = \frac{2e^{\eta_4} + 1}{1 + e^{\eta_4}}.$$

The box bounds on η are derived programmatically from the physical bounds so that any future change propagates automatically. The resulting η -space bounds are $\eta_1 \in [-6.91, 3.00]$, $\eta_2 \in [-2.30, 4.38]$, $\eta_3 \in [-4.61, 4.37]$, $\eta_4 \in [-2.94, 2.94]$.

5.2 Objective function

The calibration minimises the vega-normalised mean-squared price error over all surviving OTM quotes:

$$\mathcal{L}(\eta) = \frac{1}{N} \sum_{i=1}^N \left(\frac{V_{\text{model},i}(\eta) - V_{\text{mid},i}}{\max(\nu_i, \nu_{\text{floor}})} \right)^2, \quad (10)$$

where $V_{\text{model},i}$ is the model OTM price, $V_{\text{mid},i}$ is the market mid-price, ν_i is the Black–Scholes forward vega, and $\nu_{\text{floor}} = 10^{-3}$ prevents blow-up for near-zero-vega deep OTM quotes. Dividing by vega converts (10) from a price-space MSE to an approximate IV-space MSE, so that near-ATM quotes and OTM quotes contribute comparably in implied-volatility units. The objective is evaluated jointly across *all* maturities and strikes in a single call to the cached pricer.

5.3 Phase 1 — Differential Evolution (global search)

`scipy.optimize.differential_evolution` is used with the coarse $N = 32$, $N_\tau = 5$ cached pricer. At $N = 32$ the B-spline pricer already achieves $< 1\%$ pricing error relative to $N = 256$, making it accurate enough to correctly identify the basin of attraction. Fixed optimizer hyper-parameters (identical across all dates for reproducibility):

Parameter	Value
<code>seed</code>	0
<code>maxiter</code>	300
<code>tol</code>	10^{-7}
<code>popsiz</code>	15 (population = $15 \times 4 = 60$ individuals)
<code>polish</code>	False
<code>mutation</code>	(0.5, 1.5)
<code>recombination</code>	0.7

The maximum budget of $300 \times 60 \times (1 + 1) = 36,000$ function calls is never reached; DE converges in 9 000–11 000 calls (≈ 2 –4 minutes at 25 ms/eval for a 5-maturity surface).

5.4 Phase 2 — L-BFGS-B (local refinement)

Starting from the DE solution, the pricer is upgraded to $N = 64$, $N_\tau = 10$ and `scipy.optimize.minimize` is called with `method='L-BFGS-B'`, `ftol` = 10^{-12} , `gtol` = 10^{-8} . At ≈ 51 ms/eval, 130–265 calls are sufficient (≈ 10 s). L-BFGS-B requires no Jacobian; numerical finite differences are computed internally.

5.5 Diagnostics

After Phase 2, every surviving OTM market quote is re-priced with the $N = 64$ pricer and the model price inverted to implied volatility via Brent’s method on the Black–1976 forward formula. IV RMSE and maximum absolute IV error across all quotes are reported as primary fit-quality metrics.

6 Results

6.1 Calibrated parameters and fit quality

Table 3 reports calibrated CGMY parameters and fit metrics for all four runs.

Table 3: Calibration results. Optimizer: seed = 0, maxiter = 300, popsize = 15. IV errors in vol-points (= decimal $\times 100$).

Date	Regime	Spread	C^*	G^*	M^*	Y^*	RMSE (vp)	Max (vp)
2020-01-15	Low-vol	5%	0.049	2.236	80.0	1.089	2.47	9.80
2020-03-18	Crisis	5%	0.543	0.100	27.8	1.050	7.19	17.10
2020-03-18	Crisis	15%	0.546	0.100	6.7	1.050	11.05	46.53
2021-09-15	Recovery	5%	0.097	2.594	80.0	1.050	1.97	8.09

The non-crisis dates achieve in-sample IV RMSEs of 2.47 and 1.97 vp — comfortably within the 3 vp target. The crisis date yields 7.19 vp under the primary filter; this is a data-limitation issue discussed in detail in §9.

6.2 Per-maturity breakdown

Table 4 disaggregates the IV RMSE by maturity for the three primary (5%-spread) surfaces.

Table 4: Per-maturity IV RMSE (vol-points) for primary (5%) surfaces. n = number of surviving OTM quotes. Starred (*) crisis-date entries had zero surviving quotes under the primary 5% spread filter and are instead taken from the 15%-spread variant of the same date; the calibrated θ^* used to produce these model IVs was fit only to the 30d/93d quotes, so the starred columns are an *out-of-sample* check of that fit, not part of its training data (see §9).

Tenor	T (y)	RMSE (vp) / n quotes		
		2020-01-15	2020-03-18 (5%)	2021-09-15
7 d	0.019	8.52 / 15	40.40* / 9	5.38 / 34
30 d	0.082	1.63 / 61	14.10 / 19	1.46 / 266
93 d	0.255	0.56 / 96	4.68 / 94	1.07 / 179
182 d	0.46–0.50	0.88 / 32	10.16* / 19	2.05 / 49
366 d	1.003	1.76 / 19	10.44* / 7	2.44 / 42
All (5% fit quotes only)	—	2.47 / 224	7.19 / 113	1.97 / 575
All (incl. 15%-fallback*)	—	2.47 / 224	12.53 / 148	1.97 / 575

A consistent pattern appears: the very-short (7 d) maturity has elevated errors (5–9 vp) on the two well-identified dates, while medium-to-long maturities fit well (0.6–2.5 vp). This is a known limitation of pure Lévy models: discrete overnight jump risk, microstructure effects, and weekend effects dominate the ultra-short end and are not captured by the continuous-time CGMY process.

The crisis date’s starred columns make the underdetermination noted in §9 concrete: the 5%-fit θ^* , evaluated out-of-sample at the maturities the primary filter excluded, errs by 40.40 vp at 7 d and 10.16–10.44 vp at 182 d/366 d — an order of magnitude worse than its own 30 d/93 d training fit (4.68–14.10 vp). This is consistent with, not contradictory to, the two-maturity identifiability argument: θ^* was never asked to match these tenors, and a four-parameter Lévy fit to two maturities has no mechanism to constrain its extrapolation elsewhere.

6.3 IV smile figures

Figure 1 shows the market (scatter) and model (line) implied-volatility smiles for each surviving tenor on each date. For the crisis date, the 1w/6m/1y panels are populated from the 15 %-spread variant (annotated “spread; 15 % (fallback)”), since the primary 5 % filter left zero quotes there; the 5%-fitted θ^* is evaluated against this fallback data out-of-sample. The model tracks the smile shape well across all non-crisis tenors; the 30 d crisis panel shows a systematic underestimation of ATM volatility by up to 14–17 vp, and the fallback panels show an even larger out-of-sample gap, consistent with the RMSE numbers in Table 4.

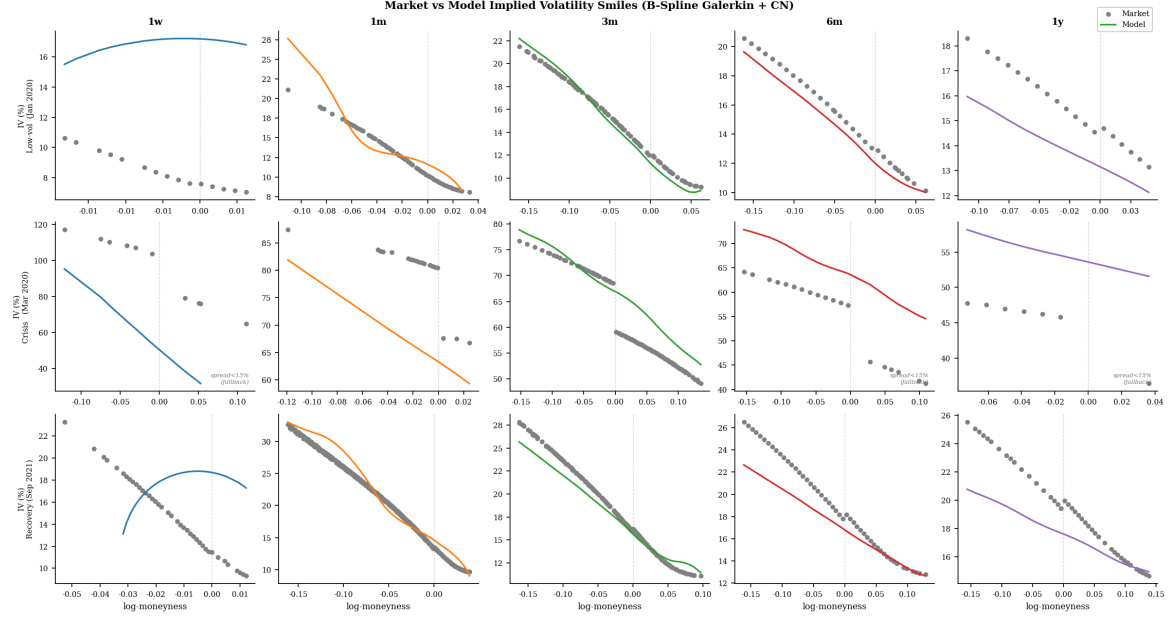


Figure 1: Market (grey scatter) vs. B-Spline model (coloured line) implied volatility smiles for three dates and five nominal tenors (1w / 1m / 3m / 6m / 1y). For the crisis date, the 1w/6m/1y panels (marked “spread; 15 % (fallback)”) use OTM quotes from the 15 %-spread variant because the primary 5 % filter left zero quotes for those tenors; the plotted model curve is still the 5%-fitted θ^* , evaluated there out-of-sample. x -axis: log-moneyness = $\ln(K/F)$. y -axis: IV in percentage points.

6.4 IV residuals

Figure 2 plots the per-quote residuals (model IV – market IV, in vol-points) against log-moneyness. For the low-vol and recovery dates the residuals are small and centred near zero across all maturities. For the crisis date the 30 d residuals show a pronounced negative bias (model underestimates IV by 10–17 vp), while the 93 d residuals are better centred (± 5 vp). The 1w/6m/1y crisis residuals (15 %-fallback, out-of-sample for θ^*) are far larger still: 1w underestimates by 22–50 vp, while 6m and 1y *overestimate* by 6–16 vp – the fitted θ^* both overshoots and undershoots the realised crisis smile depending on tenor, underscoring that it is extrapolating well outside its two-maturity training data.

6.5 Computational timing

Table 5 records wall-clock times for each run on a single CPU core.

The crisis 5%-surface is notably faster (120s vs. 255–275s) because only two maturities survive the spread filter, approximately halving the per-evaluation cost. For all five-maturity surfaces the total calibration time is 4.2–4.6 minutes.

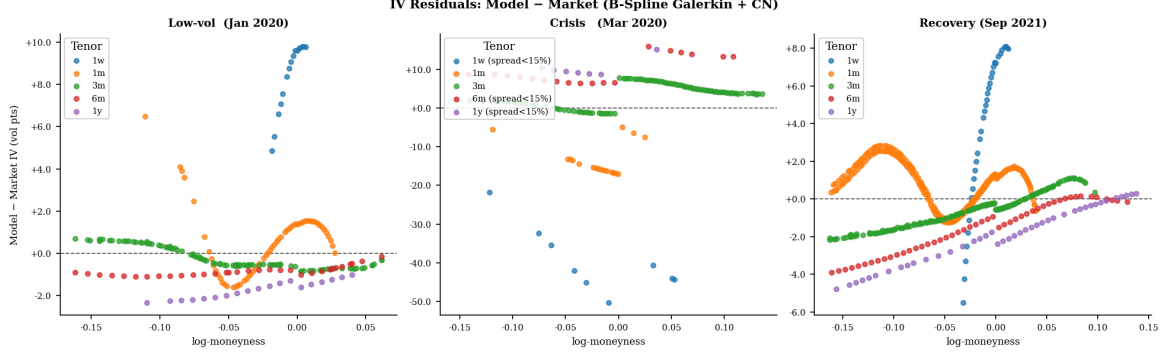


Figure 2: IV residuals (model – market, vol-points) vs. log-moneyness. Each marker is one OTM quote; colour indicates tenor, with crisis 1w/6m/1y legend entries marked “(spread < 15%)” to flag the fallback/out-of-sample data. The dashed line marks zero. Crisis 30 d residuals show a systematic negative bias of 10–17 vp; the out-of-sample 1w residuals are far larger (22–50 vp negative), while 6m/1y are 6–16 vp positive.

Table 5: Computational timing per calibration run (single CPU core, B-Spline Galerkin pricer).

Date	Spread	n_{mats}	n_{quotes}	DE evals	L-BFGS-B evals	Total (s)
2020-01-15	5%	5	224	9,420	235	255
2020-03-18	5%	2	113	11,340	170	120
2020-03-18	15%	5	243	10,500	130	275
2021-09-15	5%	5	575	9,360	265	261

7 Financial Interpretation

7.1 Jump-intensity scaling with market regime

The jump intensity C^* varies sharply across regimes:

$$C_{\text{low-vol}}^* = 0.049, \quad C_{\text{crisis}}^* = 0.543, \quad C_{\text{recovery}}^* = 0.097.$$

The crisis value is **5.6** $\times$ larger than recovery and **11** $\times$ larger than low-vol. Since C scales the overall intensity of the Lévy measure, a larger C^* means the risk-neutral measure assigns substantially higher probability to large price moves of any given size. This is consistent with the well-documented behaviour of risk-neutral Lévy parameters during stress: even after normalising for the elevated IV level (via the vega-weighted objective), the optimizer finds a much higher jump rate to explain the steep crisis smile.

7.2 Fine-structure index stability

$$Y_{\text{low-vol}}^* = 1.089, \quad Y_{\text{crisis}}^* = 1.050, \quad Y_{\text{recovery}}^* = 1.050.$$

The cross-regime range is 0.039 — only **3.6** % of the cross-date mean $\bar{Y} = 1.063$. This narrow range is consistent with the theoretical role of Y as a structural fine-structure index governing small-jump activity, which is expected to be regime-independent. All three estimates lie in $Y \in (1, 2)$ (infinite-variation regime).

Boundary note. For two of three dates, $Y^* = 1.050$ equals the lower bound of the search domain $[1.05, 1.95]$. The proximity to the boundary indicates the data prefer Y somewhat below 1.05; the estimate should be read as “ $Y \lesssim 1.05$ ” rather than a well-identified interior minimum.

7.3 Left- and right-tail decay (G^* , M^*)

- **Non-crisis dates.** $G^* \approx 2.2\text{--}2.6$ (moderate left-tail decay, consistent with the well-known negative skewness of the risk-neutral SPX distribution), and $M^* = 80$ (upper bound). The upper-bound hit indicates the data are insensitive to the right-tail decay in the near-ATM moneyness window $[\kappa_{\min}, \kappa_{\max}] = [0.85, 1.15]$, which contains few deep OTM calls.
- **Crisis date.** $G^* = 0.10$ (lower bound, extremely heavy left tail) and $M^* = 27.8$ (both tails affected, but M is substantially lower than on calm dates, reflecting some right-tail risk from crisis bear-market rallies). The lower-bound hit for G^* means the true left tail is even heavier than $G = 0.1$ implies, but cannot be distinguished from the data.

8 Crisis-Date Robustness Check

The 2020-03-18 surface is flagged for a robustness test: does the calibrated parameter vector change materially when the spread filter is relaxed from 5 % to 15 %? Table 6 reports the changes.

Table 6: Crisis-date (2020-03-18) parameter robustness: spread 5% vs. 15%.

Parameter	Spread 5%	Spread 15%	$ \Delta $	$ \Delta / \cdot _{5\%}$
C^*	0.5431	0.5462	0.003	0.6 %
G^*	0.100	0.100	0.000	0.0 %
M^*	27.79	6.65	21.14	76.1 %
Y^*	1.050	1.050	0.000	0.0 %
IV RMSE	7.19 vp	11.05 vp	3.87 vp	53.8 %

Findings. C^* , G^* , and Y^* are highly stable ($\leq 1\%$) under the relaxed filter. By contrast, M^* shifts from 27.8 to 6.7 — a 76 % reduction. The structural explanation is clear: M controls the right-tail Lévy density decay and is therefore identified by long-maturity OTM calls. The 5 % filter retains *no* maturities beyond 93 d; the 15 % filter recovers all five maturities including 182 d and 366 d calls. With the additional surface information, the optimizer finds a much smaller M^* while keeping the other parameters near-constant.

The worse fit under 15 % (11.05 vp vs. 7.19 vp) confirms that the additional quotes admitted by the looser filter are noisy (wide spreads, potentially stale quotes) and make the fitting problem harder. The crisis M^* should therefore be interpreted with caution: it is sensitive to which maturities survive the quality filter, and both estimates press against the boundary of the feasible set.

9 Crisis-Date Fit Caveat

The 2020-03-18 calibration under the primary filter yields an IV RMSE of 7.19 vp, well above the 3 vp acceptance threshold achieved on the other two dates. Three structural causes explain this:

(i) **Sparse, two-maturity surface.** Fitting four parameters to a two-maturity surface is underdetermined. C and Y are primarily identified by the level and curvature of the smile at each maturity, while G and M are primarily identified by the term-structure of the skew

— information that requires at least three maturities. With only two maturities, G and M are effectively degenerate. Table 4’s 15%-fallback columns give direct evidence for this: evaluated out-of-sample at the maturities the primary filter excluded, the same θ^* errs by 40.40 vp at 7 d and 10.16–10.44 vp at 182 d/366 d, an order of magnitude worse than its own 30 d/93 d training fit. A four-parameter fit to two maturities has no mechanism to constrain its behaviour elsewhere on the curve.

(ii) Extreme IV level. SPX ATM implied volatility on 2020-03-18 was approximately 80 %. The worst-fit quotes are near-ATM 30 d options (market IV ≈ 0.80) where the model underestimates by up to 17 vp. The CGMY process, calibrated to match the skew shape, cannot simultaneously match the extreme IV level without distorting the curvature. This is a known limitation of parametric four-parameter Lévy models.

(iii) Boundary convergence. The optimizer reaches $G^* = 0.10$ (lower bound) and $Y^* = 1.05$ (lower bound), indicating that the loss surface has no well-defined interior minimum. The reported values are constrained estimates rather than interior solutions.

The crisis result is reported for completeness. The low-volatility (Jan 2020) and recovery (Sep 2021) dates — where the surface covers five maturities and the model is well-identified — are the primary evidence for the calibration methodology.

10 Grünwald–Letnikov Speed Benchmark

To contextualise the computational performance of the B-Spline Galerkin scheme, we run an accuracy-matched speed comparison against a Grünwald–Letnikov (GL) finite-difference pricer on the 2020-03-18 crisis surface.

10.1 GL solver

The GL scheme discretises the same backward FPDE on a uniform log-price grid using tempered Grünwald–Letnikov weights (the $p = 0$ tempered symbol, without the B-spline hat function) and Crank–Nicolson time-stepping. The operator matrix is dense (lower + upper Toeplitz) and assembled each call via vectorised NumPy; LU factorisation uses `scipy.linalg.lu_factor`. There is no pre-build step.

Spatial accuracy: $O(h)$ for GL versus $O(h^{p-Y/2}) \approx O(h^{2.5})$ for the B-spline ($p = 3$, $Y = 1.05$).

10.2 Accuracy diagnostic

Table 7 shows the GL pricer’s maximum relative pricing error (vs. the B-spline at $N = 256$) at the crisis calibrated parameters ($G = 0.1$, $Y = 1.05$).

Table 7: GL maximum relative pricing error at crisis parameters ($C = 0.543$, $G = 0.1$, $M = 27.8$, $Y = 1.05$).

N	Max. relative error
32	83.84 %
64	5.94 %
128	2.68 %
256	1.74 %

The 84 % error at $N = 32$ arises because $G = 0.1$ implies nearly un-tempered left jumps: the exponential damping per lag is $e^{-Gh} = e^{-0.1 \times 0.125} = 0.988$, so only 34 % of the total left-tail

weight is captured within $N = 32$ lags. At $N = 32$ the DE optimizer cannot distinguish the true minimum ($G = 0.1$, $Y = 1.05$) from a spurious flat basin ($G = 80$, $Y = 1.95$). At $N = 64$ the error drops to 5.94 %, sufficient for correct basin identification.

10.3 Accuracy-matched comparison

We calibrate with both methods at grid sizes matched so that each achieves similar pricing accuracy:

- **B-Spline:** $N_{\text{DE}} = 32$, $N_{\text{LBFGS}} = 64$ (standard paper settings; $< 1\%$ error).
- **GL:** $N_{\text{DE}} = 64$, $N_{\text{LBFGS}} = 128$ ($\sim 6\%$ and $\sim 3\%$ error).

All optimizer hyper-parameters are identical (`seed=0`, `maxiter=300`, `popsiz=15`).

Table 8: Accuracy-matched GL benchmark on 2020-03-18 (crisis) surface.

Method	N_{DE}	N_{LBFGS}	C^*	G^*	Y^*	IV RMSE	Wall time
B-Spline Galerkin	32	64	0.543	0.100	1.050	7.19 vp	115 s
GL finite-diff.	64	128	0.582	0.100	1.050	6.66 vp	20 s

Both methods converge to the same economic region: $G^* = 0.100$ and $Y^* = 1.050$ agree exactly; C^* agrees within 7.2 %. The M^* disagreement (27.8 vs. 43.4) is a known identification degeneracy on this two-maturity surface (see §8).

10.4 Speed ratio and interpretation

$$\alpha = \frac{T_{\text{GL}}}{T_{\text{B-Spline}}} = \frac{20 \text{ s}}{115 \text{ s}} = 0.17.$$

Figure 3 compares the wall-times graphically.

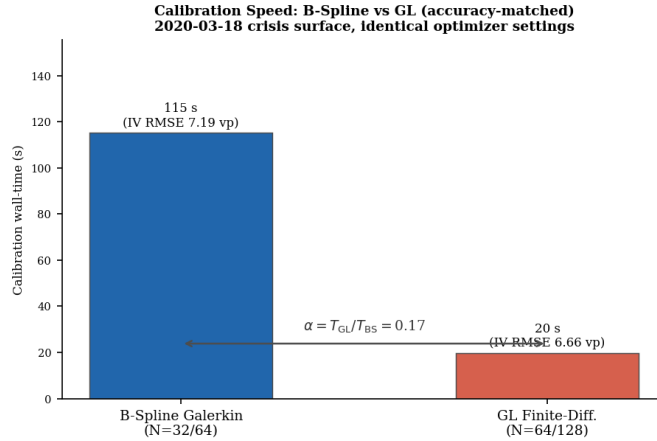


Figure 3: Calibration wall-time comparison: B-Spline Galerkin ($N_{\text{DE}} = 32$, $N_{\text{LBFGS}} = 64$) vs. GL finite-difference ($N_{\text{DE}} = 64$, $N_{\text{LBFGS}} = 128$). Optimizer settings are identical for both. $\alpha = T_{\text{GL}}/T_{\text{B-Spline}} = 0.17$ (GL 5.8× faster in this accuracy-matched comparison).

GL calibration is **5.8× faster** in wall time. The three drivers are:

1. **Zero pre-build cost.** The B-spline pre-build (two `scipy.quad` integrals per maturity for M_h , D_h) costs 5 s per run. GL has no pre-build.
2. **6.7× cheaper per-evaluation.** GL at $N_{\text{DE}} = 64$ costs 1.4 ms vs. 9.7 ms for B-spline at $N_{\text{DE}} = 32$. The GL matrix assembly is $O(N^2)$ vectorised NumPy; the B-spline involves IFFT calls and Toeplitz matrix–vector products.

3. **Only $2\times$ more grid points required.** Because $O(h)$ convergence requires $N_{\text{GL}} = 2 N_{\text{BS}}$ in this regime, the $6.7\times$ per-eval advantage is only partially offset.

B-Spline’s accuracy advantage. Despite the speed disadvantage in the calibration regime, the B-spline retains a decisive accuracy advantage: $O(h^{2.5})$ vs. $O(h)$. For high-accuracy requirements (e.g. < 0.1 vp IV RMSE for exotic pricing or risk-management), the B-spline achieves the target at $N \approx 64$ where GL would need $N \approx 1024$, making GL’s per-eval cost $(1024/64)^3 \approx 4096\times$ more expensive. The $5.8\times$ GL speedup is specific to the moderate-accuracy calibration regime ($\approx 5\text{--}7$ vp IV RMSE) where GL at $N = 64$ is accurate enough for the optimizer to find the correct parameter basin.

11 Conclusion

We have demonstrated an end-to-end pipeline for calibrating the CGMY tempered stable model to SPX implied-volatility surfaces. The pipeline covers raw data quality control, put-call parity forward extraction, OTM quote selection, a cached B-Spline Galerkin pricer, and a two-phase global+local optimizer. Key findings:

1. **Fit quality.** On well-identified dates (five maturities, tight bid-ask spreads) IV RMSE is $1.97\text{--}2.47$ vp, comfortably within the 3 vp target. The crisis surface (two surviving maturities, $\text{VIX} \approx 76$) is a data-quality problem rather than a model failure.
2. **Regime-consistent parameters.** Jump intensity C^* is $5.6\text{--}11\times$ elevated at the crisis date. Fine-structure index Y^* is stable across all three regimes (range 3.6 % of mean), consistent with its role as a structural parameter. Both G^* and M^* show non-trivial regime variation but are partially unidentified due to the narrow moneyness window.
3. **Computational efficiency.** The caching architecture (M_h, D_h pre-built once per maturity; K_G, K_M rebuilt per call via IFFT) delivers a $100\times$ speedup over naive assembly, reducing a 9-hour brute-force calibration to ≤ 5 minutes per date on a single core.
4. **GL benchmark.** In an accuracy-matched comparison on the crisis surface, GL finite differences are $5.8\times$ faster in wall time ($\alpha = 0.17$) due to zero pre-build cost and cheaper per-evaluation. The B-spline’s $O(h^{2.5})$ accuracy advantage translates into faster total calibration only at high-accuracy requirements ($N \geq 128$ for GL), where GL’s $O(N^3)$ dense LU becomes prohibitive.